

Xpeng ADR & H

A new page in robotics business despite lukewarm 3Q guidance

XPeng's 2Q results were a moderate beat, with sustained GPM despite input cost hikes and a non-GAAP bottom line 8% above JPMe (though below consensus). Along with the result release, XPeng announced its humanoid robot business has successfully secured US\$900mn funding, translating into US\$6.3bn post-money valuation (consistent with our estimated value of the robot business in our sum-of-the-parts analysis). We see this as a major milestone in XPeng's AI initiatives, with another one being robotaxi where XPeng will start to deploy a taxi fleet across Guangzhou from 4Q26, followed by formal operation without safety drivers in 2027. We trim our 2026/27 estimates to reflect slow 3Q26 guidance and continued competition in the market, though our long-term optimism on XPeng's AI prospects remains. Our new Jun-27 PTs are HK\$94/US\$24.

- 1) XPeng's key LT initiatives:** XPeng Robotics raised over US\$900mn to support IRON's mass production, continued R&D and commercialization. Production is scheduled to commence by end-2026, with external deliveries beginning in 1H27 and broader deployment across retail and service scenarios thereafter. XPeng expects meaningful synergies from sharing AI models, Turing chips, automotive-grade supply chains and manufacturing capabilities across its vehicle and robotics businesses. Meanwhile, XPeng's pre-installed Robotaxi fleet has completed over 2,000 internal test orders in Guangzhou, with commercial models potentially including vehicle sales, technology services and revenue sharing with mobility platforms. **JPM view:** We see the external financing as third-party validation of XPeng's robotics capabilities and a key step in crystallizing the business's standalone value. Together with Robotaxi and VLA 2.0, robotics could expand XPeng's long-term addressable market beyond vehicle manufacturing, although a meaningful earnings contribution will likely take time.
- 2) 2Q26 results and our expectations from here:** XPeng's 2Q26 results moderately exceeded our expectations, with gross margin remaining resilient and non-GAAP losses narrowing more than JPMe. Higher-margin technology R&D services for Volkswagen supported the overall margin, while vehicle margin was stable sequentially despite input-cost pressure. However, 3Q26 guidance was lukewarm, reflecting slower-than-expected production ramp-up amid extreme weather and supply-chain disruptions. Management expects stronger momentum in 4Q26, supported by improving MONA L03 supply, continued GX ramp-up and the launches of G9L and

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Equity Ratings and Price Targets

Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Price	Rating		Price Target			
					Cur	Prev	Cur	End Date	Prev	End Date
XPeng - H	9868 HK	4,996	HKD	47.68	OW	n/c	94.00	Jun-27	108.00	Dec-26
XPeng	XPEV US	10,014	USD	12.19	OW	n/c	24.00	Jun-27	27.00	Dec-26

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 24 Aug 26 except for XPEV US [21 Aug 26].

See page 12 for analyst certification and important disclosures, including non-US analyst disclosures.

MONA L05, targeting monthly deliveries above 60k units. We lower our 2026/27 estimates (as shown Table 1), to reflect softer near-term deliveries amid new-model ramp-up and continued industry competition. However, we expect a stronger product cycle, overseas expansion and technology-service revenue to support earnings improvement into 2027.

Table 1: Earnings revisions

RMBmn	2026E			2027E		
	Revised	Previous	% change	Revised	Previous	% change
Net Sales	84,791	91,818	-8%	130,224	141,947	-8%
Sales growth (yoy%)	11%	20%		54%	55%	
COGS	69,031	76,222	-9%	110,240	119,836	-8%
Gross profit	15,759	15,596	1%	19,984	22,111	-10%
Gross margin (%)	19%	17%		15%	16%	
Operating profit	(4,453)	(5,108)	13%	(1,733)	(1,664)	-4%
Operating margin (%)	-5%	-6%		-1%	-1%	
OP (Non- GAAP)	(4,191)	(4,629)	9%	(1,342)	(1,238)	-8%
OPM- adj (%)	-5%	-5%		-1%	-1%	
Pre-tax profit	(4,374)	(4,180)	-5%	(1,156)	(748)	-54%
Net profit	(4,458)	(4,189)	-6%	(1,158)	(774)	-49%
Net margin (%)	-5%	-5%		-1%	-1%	
NP (Non- GAAP)	(4,197)	(3,710)	-13%	(767)	(349)	-120%
NPM- adj (%)	-5%	-4%		-1%	0%	

Source: J.P. Morgan estimates

Overweight

9868.HK, 9868 HK

Price (24 Aug 26): HK\$47.68

▼ **Price Target (Jun-27): HK\$94.00**

Prior (Dec-26): HK\$108.00

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Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Revenue - 26E (Rmb mn)	91,818	84,791	-7.7%
Revenue - 27E (Rmb mn)	141,947	130,224	-8.3%

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	92	83	90	96	2
Growth	49	10	12	36	96
Momentum	98	86	7	62	
Quality	93	96	96	96	97
Low Vol	88	94	95	99	98
ESGQ	6	11	6	3	-

Sources for: Style Exposure – J.P. Morgan Global Markets Strategy; all other tables are company data and J.P. Morgan estimates.

XPeng - H

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Price Performance



Company Data

Shares O/S (mn)	821
52-week range (HK\$)	110.80-44.70
Market cap (\$ mn)	4,996
Exchange rate	7.84
Free float (%)	79.4%
3M ADV (mn)	16.80
3M ADV (\$ mn)	117.2
Volatility (90 Day)	51
Index	HSI
BBG ANR (Buy Hold Sell)	41 2 1

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	76,720	84,791	130,224	150,204
Adj. EBITDA	(399)	(1,847)	999	2,567
Adj. EBIT	(2,771)	(4,453)	(1,733)	(276)
Adj. net income	(1,139)	(4,458)	(1,158)	561
Net margin	(1.5%)	(5.3%)	(0.9%)	0.4%
Adj. EPS	(1.20)	(4.68)	(1.22)	0.59
BBG EPS	(0.66)	(0.89)	0.87	2.25
Cashflow from operations	8,259	(2,003)	12,630	5,977
FCFF	7,390	(3,876)	8,164	2,451
Margins and Growth				
Revenue Growth Y/Y (%)	87.7%	10.5%	53.6%	15.3%
EBITDA margin	(0.5%)	(2.2%)	0.8%	1.7%
EBITDA Growth Y/Y (%)	(91.2%)	362.6%	(154.1%)	156.9%
EBIT margin	(3.6%)	(5.3%)	(1.3%)	(0.2%)
Adj. EPS growth	(80.5%)	291.2%	(74.0%)	(148.4%)
Ratios				
Adj. tax rate	(1.2%)	(1.9%)	(0.2%)	15.0%
Interest cover	0.5	3.4	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	16.2	0.7	NM	NM
ROCE	(6.8%)	(11.5%)	(4.6%)	(0.6%)
ROE	(3.7%)	(15.8%)	(4.5%)	2.2%
Valuation				
FCFF yield	19.0%	(10.0%)	21.0%	6.3%
Dividend yield	0.0%	0.0%	0.0%	0.0%
EV/EBITDA	NM	NM	63.0	23.4
EV/Revenue	0.9	0.8	0.5	0.4
Adj. P/E	NM	NM	NM	69.4

Summary Investment Thesis and Valuation

Investment Thesis

We believe the next major leg-up in 2026-27 will be driven by the company's AI initiatives, including Robotaxi and humanoid robot, all powered by XPeng's in-house AI capability including self-designed chip, VLA and VLM. While investors may not see noticeable revenue contribution from these initiatives until 2H/4Q26 or beyond, and the market may not pay much value for its 2027 story today, our view is that XPeng's share price will start to price in its AI ambitions aggressively into 2H26 when we have more visibility on its technology deployment.

Valuation

We set our Jun-27 PT at HK\$94 (previous Dec-26 PT at HK\$108). We value the company based on SOTP methodology. For vehicle sales, we apply a 0.6x FY27E P/S and EV/S (vs previous 0.7x) to reflect our more cautious view on the broader market. For the other business initiatives (incl. robotaxi and humanoid robot), we use the bear case valuation of each business initiative. For chip supply, given the business is still in the early stages, we value the business at a market cap of US\$500mn, at a meaningful discount to Horizon Robotics (9660 HK). Our Jun-27 PT translates to 1.5x/0.6x 2026/27E P/S multiples.

Performance Drivers

Market	3%
Region	30%
Macro	12%
Style	0%
Idiosyn.	56%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.08	0.17
Region: China	0.57	0.56
Macro:		
HSI Volatility Index	-0.23	-0.29
US 10 Year Yield	0.27	0.25
JPM Forecast Revision EM	-0.06	-0.24
Quant Styles:		
Size	-0.38	-0.24
Momentum	-0.41	-0.22
LowVol	0.27	0.10

Investment Thesis, Valuation and Risks

XPeng Inc. - H (Overweight; Price Target: HK\$94.00)

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Table: SOTP valuation

(USDmn)	Implied mkt cap
Vehicle sales	13,470
Robotaxi service	2,783
Humanoid robot	5,950
Other business (~20% holding by XPEV)	226
Chip supply	500
Total implied equity value (USD mn)	22,929
Implied value per share (USD)	24.1
Implied value per share (HKD)	94.38

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Downside risks to our PT include: worse-than-expected pricing competition in China's NEV market; execution risk and worse-than-expected competition in robotaxi, humanoid robots and other business. Key factors to track for validating or falsifying our valuation thesis on the three new initiatives include: the launch of L4 vehicles by end-2026, cost management and shipment volumes of humanoid robots, progress in the certification process for other business, and the execution of supply chain operations.

Potential upside catalysts include successful collaboration between XPeng and VW on future products and technology, better-than-expected development and demand in robotaxi, humanoid robots and other business.

XPeng - H: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	40,866	76,720	84,791	130,224	150,204	Cash flow from operating activities	(2,012)	8,259	(2,003)	12,630	5,977
COGS	(35,021)	(62,247)	(69,031)	(110,240)	(126,094)	o/w Depreciation & amortization	2,109	2,372	2,605	2,732	2,843
Gross profit	5,846	14,473	15,759	19,984	24,110	o/w Changes in working capital	56	8,697	1,051	10,665	2,123
SG&A	(6,871)	(9,398)	(8,974)	(9,929)	(11,462)	Cash flow from investing activities	(1,255)	(7,334)	(3,075)	(4,075)	(3,075)
Adj. EBITDA	(4,549)	(399)	(1,847)	999	2,567	o/w Capital expenditure	(2,226)	(3,156)	(3,075)	(4,075)	(3,075)
D&A	(2,109)	(2,372)	(2,605)	(2,732)	(2,843)	as % of sales	5.4%	4.1%	3.6%	3.1%	2.0%
Adj. EBIT	(6,658)	(2,771)	(4,453)	(1,733)	(276)	Cash flow from financing activities	669	515	500	500	500
Net Interest	1,031	783	541	207	545	o/w Dividends paid	-	-	-	-	-
Adj. PBT	(5,831)	(1,157)	(4,374)	(1,156)	660	o/w Shares issued/(repurchased)	0	0	0	0	0
Tax	70	(14)	(84)	(2)	(99)	o/w Net debt issued/(repaid)	1,197	515	500	500	500
Minority Interest	0	0	0	0	0	Net change in cash	(2,562)	1,661	(4,578)	9,055	3,401
Adj. Net Income	(5,790)	(1,139)	(4,458)	(1,158)	561	Adj. Free cash flow to firm	(5,388)	7,390	(3,876)	8,164	2,451
Reported EPS (Basic)	(6.12)	(1.20)	(4.68)	(1.22)	0.59	y/y Growth	48.5%	(237.2%)	(152.5%)	(310.6%)	(70.0%)
Adj. EPS	(6.12)	(1.20)	(4.68)	(1.22)	0.59						
DPS	0.00	0.00	0.00	0.00	0.00						
Payout ratio	0.0%	0.0%	0.0%	0.0%	0.0%						
Shares outstanding	946	952	952	952	952						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	18,586	17,330	12,752	21,807	25,208	Gross margin	14.3%	18.9%	18.6%	15.3%	16.1%
Accounts receivable	2,450	1,997	1,208	1,855	2,140	EBITDA margin	(11.1%)	(0.5%)	(2.2%)	0.8%	1.7%
Inventories	5,563	10,381	10,402	16,007	18,310	EBIT margin	(16.3%)	(3.6%)	(5.3%)	(1.3%)	(0.2%)
Other current assets	23,137	33,547	33,547	33,547	33,547	Net profit margin	(14.2%)	(1.5%)	(5.3%)	(0.9%)	0.4%
Current assets	49,736	63,254	57,908	73,216	79,204	ROE	(17.1%)	(3.7%)	(15.8%)	(4.5%)	2.2%
PP&E	11,522	13,527	15,440	18,029	19,337	ROA	(6.9%)	(1.2%)	(4.4%)	(1.1%)	0.5%
LT investments	1,963	1,469	1,469	1,469	1,469	ROCE	(15.4%)	(6.8%)	(11.5%)	(4.6%)	(0.6%)
Other non current assets	19,485	24,913	23,470	22,224	21,148	SG&A/Sales	16.8%	12.3%	10.6%	7.6%	7.6%
Total assets	82,706	103,163	98,287	114,937	121,158	Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	4,609	4,282	4,282	4,282	4,282	Net debt/EBITDA	1.8	16.2	0.7	NM	NM
Payables	23,080	37,163	37,447	54,365	59,074	Sales/Assets (x)	0.5	0.8	0.8	1.2	1.3
Other short term liabilities	12,175	16,668	15,205	15,205	15,205	Assets/Equity (x)	2.5	3.0	3.6	4.1	4.6
Current liabilities	39,865	58,113	56,934	73,852	78,561	Interest cover (x)	4.4	0.5	3.4	NM	NM
Long-term debt	5,665	6,589	7,089	7,589	8,089	Operating leverage	(117.0%)	(66.5%)	576.6%	(114.0%)	(548.0%)
Other long term liabilities	5,902	8,092	8,092	8,092	8,092	Tax rate	(1.2%)	(1.2%)	(1.9%)	(0.2%)	15.0%
Total liabilities	51,431	72,794	72,115	89,532	94,742	Revenue y/y Growth	33.2%	87.7%	10.5%	53.6%	15.3%
Shareholders' equity	31,275	30,368	26,172	25,405	26,416	EBITDA y/y Growth	(49.5%)	(91.2%)	362.6%	(154.1%)	156.9%
Minority interests	0	0	0	0	0	EPS y/y Growth	(48.6%)	(80.5%)	291.2%	(74.0%)	(148.4%)
Total liabilities & equity	82,706	103,163	98,287	114,937	121,158						
BVPS	33.07	31.90	27.49	26.69	27.75						
y/y Growth	(20.8%)	(3.5%)	(13.8%)	(2.9%)	4.0%						
Net debt/(cash)	(8,313)	(6,459)	(1,381)	(9,936)	(12,837)						
						Valuation					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
						P/E (x)	NM	NM	NM	NM	69.4
						P/BV (x)	1.2	1.3	1.5	1.5	1.5
						EV/EBITDA (x)	NM	NM	NM	63.0	23.4
						Dividend Yield	0.0%	0.0%	0.0%	0.0%	0.0%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Overweight

XPEV,XPEV US

Price (21 Aug 26): \$12.19

▼ **Price Target (Jun-27): \$24.00**

Prior (Dec-26): \$27.00

China

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Key Changes (FYE Dec)

	Prev	Cur	Δ
Revenue - 26E (Rmb mn)	91,818	84,791	-7.7%
Revenue - 27E (Rmb mn)	141,947	130,224	-8.3%

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	83	67	78	60	42
Growth	53	12	16	24	31
Momentum	98	78	10	14	35
Quality	93	97	96	96	95
Low Vol	92	96	97	99	99

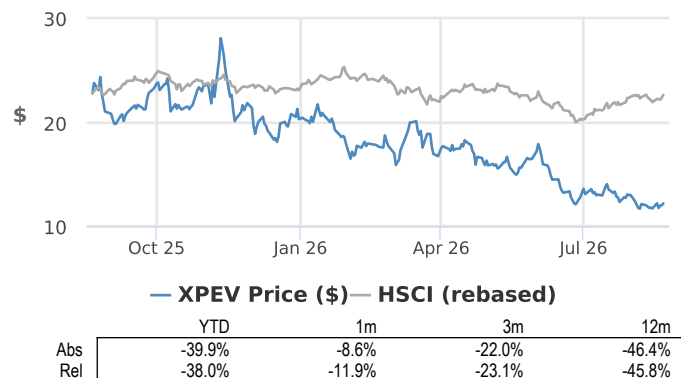
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Exchange rate	1.00
Free float (%)	-
3M ADV (mn)	7.22
3M ADV (\$ mn)	98.9
Volatility (90 Day)	45
Index	HSCI
BBG ANR (Buy Hold Sell)	25 4 2

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
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Adj. EBIT	(2,771)	(4,453)	(1,733)	(276)
Adj. net income	(1,139)	(4,458)	(1,158)	561
Net margin	(1.5%)	(5.3%)	(0.9%)	0.4%
Adj. EPS	(1.20)	(4.68)	(1.22)	0.59
BBG EPS	(1.32)	(1.78)	1.75	4.50
Cashflow from operations	8,259	(2,003)	12,630	5,977
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Margins and Growth				
Revenue Growth Y/Y (%)	87.7%	10.5%	53.6%	15.3%
EBITDA margin	(0.5%)	(2.2%)	0.8%	1.7%
EBITDA Growth Y/Y (%)	(91.2%)	362.6%	(154.1%)	156.9%
EBIT margin	(3.6%)	(5.3%)	(1.3%)	(0.2%)
Adj. EPS growth	(80.5%)	291.2%	(74.0%)	(148.4%)
Ratios				
Adj. tax rate	(1.2%)	(1.9%)	(0.2%)	15.0%
Interest cover	0.5	3.4	NM	NM
Net debt/Equity	NM	NM	NM	NM
Net debt/EBITDA	16.2	0.7	NM	NM
ROCE	(6.8%)	(11.5%)	(4.6%)	(0.6%)
ROE	(3.7%)	(15.8%)	(4.5%)	2.2%
Valuation				
FCFF yield	9.5%	(5.0%)	10.5%	3.1%
Dividend yield	0.0%	0.0%	0.0%	0.0%
EV/EBITDA	NM	NM	63.0	23.4
EV/Revenue	0.9	0.8	0.5	0.4
Adj. P/E	NM	NM	NM	139.1

Summary Investment Thesis and Valuation

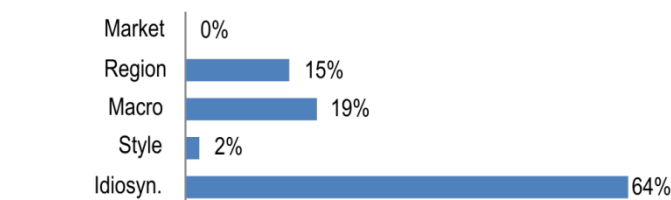
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We set our Jun-27 PT at US\$24 (previous Dec-26 PT at US\$27). We value the company based on SOTP methodology. For vehicle sales, we apply a 0.6x FY27E P/S and EV/S (vs previous 0.7x) to reflect our more cautious view on the broader market. For the other business initiatives (incl. robotaxi and humanoid robot), we use the bear case valuation of each business initiative. For chip supply, given the business is still in the early stages, we value the business at a market cap of US\$500mn, at a meaningful discount to Horizon Robotics (9660 HK). Our Jun-27 PT translates to 1.5x/0.6x 2026/27E P/S multiples.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.01	0.13
Region: China	0.51	0.44
Macro:		
JP Morgan EMBI Global Spread	-0.14	-0.26
JPM Forecast Revision EM	-0.01	-0.25
HSI Volatility Index	-0.19	-0.24
Quant Styles:		
Momentum	-0.50	-0.28
Size	-0.38	-0.22
LowVol	0.34	0.14

Investment Thesis, Valuation and Risks

XPeng Inc. (Overweight; Price Target: \$24.00)

Investment Thesis

We believe the next major leg-up in 2026-27 will be driven by the company's AI initiatives, including Robotaxi and humanoid robot, all powered by XPeng's in-house AI capability including self-designed chip, VLA and VLM. While investors may not see noticeable revenue contribution from these initiatives until 2H/4Q26 or beyond, and the market may not pay much value for its 2027 story today, our view is that XPeng's share price will start to price in its AI ambitions aggressively into 2Q/2H26 when we have more visibility on its technology deployment.

Valuation

We set our Jun-27 PT at US\$24 (previous Dec-26 PT at US\$27). We value the company based on SOTP methodology. For vehicle sales, we apply a 0.6x FY27E P/S and EV/S (vs previous 0.7x) to reflect our more cautious view on the broader market. For the other business initiatives (incl. robotaxi and humanoid robot), we use the bear case valuation of each business initiative. For chip supply, given the business is still in the early stages, we value the business at a market cap of US\$500mn, at a meaningful discount to Horizon Robotics (9660 HK). Our Jun-27 PT translates to 1.5x/0.6x 2026/27E P/S multiples.

Table: SOTP valuation

(USDmn)	Implied mkt cap
Vehicle sales	13,470
Robotaxi service	2,783
Humanoid robot	5,950
Other business (~20% holding by XPEV)	226
Chip supply	500
Total implied equity value (USD mn)	22,929
Implied value per share (USD)	24.1
Implied value per share (HKD)	94.38

Source: J.P. Morgan estimates.

Risks to Rating and Price Target

Downside risks to our PT include: worse-than-expected pricing competition in China's NEV market; execution risk and worse-than-expected competition in robotaxi, humanoid robots and other business. Key factors to track for validating or falsifying our valuation thesis on the three new initiatives include: the launch of L4 vehicles by end-2026, cost management and shipment volumes of humanoid robots, progress in the certification process for other business, and the execution of supply chain operations.

Potential upside catalysts include successful collaboration between XPeng and VW on future products and technology, better-than-expected development and demand in robotaxi, humanoid robots and other business.

XPeng: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	40,866	76,720	84,791	130,224	150,204	Cash flow from operating activities	(2,012)	8,259	(2,003)	12,630	5,977
COGS	(35,021)	(62,247)	(69,031)	(110,240)	(126,094)	o/w Depreciation & amortization	2,109	2,372	2,605	2,732	2,843
Gross profit	5,846	14,473	15,759	19,984	24,110	o/w Changes in working capital	56	8,697	1,051	10,665	2,123
SG&A	(6,871)	(9,398)	(8,974)	(9,929)	(11,462)	Cash flow from investing activities	(1,255)	(7,334)	(3,075)	(4,075)	(3,075)
Adj. EBITDA	(4,549)	(399)	(1,847)	999	2,567	o/w Capital expenditure	(2,226)	(3,156)	(3,075)	(4,075)	(3,075)
D&A	(2,109)	(2,372)	(2,605)	(2,732)	(2,843)	as % of sales	5.4%	4.1%	3.6%	3.1%	2.0%
Adj. EBIT	(6,658)	(2,771)	(4,453)	(1,733)	(276)	Cash flow from financing activities	669	515	500	500	500
Net Interest	1,031	783	541	207	545	o/w Dividends paid	-	-	-	-	-
Adj. PBT	(5,831)	(1,157)	(4,374)	(1,156)	660	o/w Shares issued/(repurchased)	0	0	0	0	0
Tax	70	(14)	(84)	(2)	(99)	o/w Net debt issued/(repaid)	1,197	515	500	500	500
Minority Interest	0	0	0	0	0	Net change in cash	(2,562)	1,661	(4,578)	9,055	3,401
Adj. Net Income	(5,790)	(1,139)	(4,458)	(1,158)	561	Adj. Free cash flow to firm	(5,388)	7,390	(3,876)	8,164	2,451
Reported EPS (Basic)	(6.12)	(1.20)	(4.68)	(1.22)	0.59	y/y Growth	48.5%	(237.2%)	(152.5%)	(310.6%)	(70.0%)
Adj. EPS	(6.12)	(1.20)	(4.68)	(1.22)	0.59						
DPS	0.00	0.00	0.00	0.00	0.00						
Payout ratio	0.0%	0.0%	0.0%	0.0%	0.0%						
Shares outstanding	946	952	952	952	952						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	18,586	17,330	12,752	21,807	25,208	Gross margin	14.3%	18.9%	18.6%	15.3%	16.1%
Accounts receivable	2,450	1,997	1,208	1,855	2,140	EBITDA margin	(11.1%)	(0.5%)	(2.2%)	0.8%	1.7%
Inventories	5,563	10,381	10,402	16,007	18,310	EBIT margin	(16.3%)	(3.6%)	(5.3%)	(1.3%)	(0.2%)
Other current assets	23,137	33,547	33,547	33,547	33,547	Net profit margin	(14.2%)	(1.5%)	(5.3%)	(0.9%)	0.4%
Current assets	49,736	63,254	57,908	73,216	79,204	ROE	(17.1%)	(3.7%)	(15.8%)	(4.5%)	2.2%
PP&E	11,522	13,527	15,440	18,029	19,337	ROA	(6.9%)	(1.2%)	(4.4%)	(1.1%)	0.5%
LT investments	1,963	1,469	1,469	1,469	1,469	ROCE	(15.4%)	(6.8%)	(11.5%)	(4.6%)	(0.6%)
Other non current assets	19,485	24,913	23,470	22,224	21,148	SG&A/Sales	16.8%	12.3%	10.6%	7.6%	7.6%
Total assets	82,706	103,163	98,287	114,937	121,158	Net debt/Equity	NM	NM	NM	NM	NM
Short term borrowings	4,609	4,282	4,282	4,282	4,282	Net debt/EBITDA	1.8	16.2	0.7	NM	NM
Payables	23,080	37,163	37,447	54,365	59,074	Sales/Assets (x)	0.5	0.8	0.8	1.2	1.3
Other short term liabilities	12,175	16,668	15,205	15,205	15,205	Assets/Equity (x)	2.5	3.0	3.6	4.1	4.6
Current liabilities	39,865	58,113	56,934	73,852	78,561	Interest cover (x)	4.4	0.5	3.4	NM	NM
Long-term debt	5,665	6,589	7,089	7,589	8,089	Operating leverage	(117.0%)	(66.5%)	576.6%	(114.0%)	(548.0%)
Other long term liabilities	5,902	8,092	8,092	8,092	8,092	Tax rate	(1.2%)	(1.2%)	(1.9%)	(0.2%)	15.0%
Total liabilities	51,431	72,794	72,115	89,532	94,742	Revenue y/y Growth	33.2%	87.7%	10.5%	53.6%	15.3%
Shareholders' equity	31,275	30,368	26,172	25,405	26,416	EBITDA y/y Growth	(49.5%)	(91.2%)	362.6%	(154.1%)	156.9%
Minority interests	0	0	0	0	0	EPS y/y Growth	(48.6%)	(80.5%)	291.2%	(74.0%)	(148.4%)
Total liabilities & equity	82,706	103,163	98,287	114,937	121,158						
BVPS	33.07	31.90	27.49	26.69	27.75						
y/y Growth	(20.8%)	(3.5%)	(13.8%)	(2.9%)	4.0%						
Net debt/(cash)	(8,313)	(6,459)	(1,381)	(9,936)	(12,837)						
						Valuation					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
						P/E (x)	NM	NM	NM	NM	139.1
						P/BV (x)	2.5	2.6	3.0	3.1	3.0
						EV/EBITDA (x)	NM	NM	NM	63.0	23.4
						Dividend Yield	0.0%	0.0%	0.0%	0.0%	0.0%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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XPeng - H (9868.HK, 9868 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
16-Nov-23	N	67.80	73
23-Feb-24	N	36.45	36
21-Aug-24	N	27.55	31
05-Sep-24	OW	32.70	45
10-Oct-24	OW	46.85	53
08-Nov-24	OW	50.00	60
10-Nov-24	OW	57.35	65
14-Mar-25	OW	95.50	130
19-Mar-25	OW	95.10	122
11-Jul-25	OW	67.70	100
14-Nov-25	OW	105.90	195
08-Feb-26	OW	67.05	135
29-May-26	OW	66.35	118
14-Jul-26	OW	50.80	108

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Dec 09, 2021. All share prices are as of market close on the previous business day.

XPeng (XPEV, XPEV US) Price Chart



Date	Rating	Price (\$)	Price Target (\$)
16-Nov-23	N	17.39	19
23-Feb-24	N	9.14	9
21-Aug-24	N	6.77	8
05-Sep-24	OW	8.43	11.5
10-Oct-24	OW	12.55	14
08-Nov-24	OW	14.22	16
10-Nov-24	OW	14.49	17
14-Mar-25	OW	25.35	35
19-Mar-25	OW	22.64	31
11-Jul-25	OW	17.43	25
14-Nov-25	OW	26.38	50
08-Feb-26	OW	17.72	34
29-May-26	OW	16.44	30
14-Jul-26	OW	12.95	27

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 21, 2020. All share prices are as of market close on the previous business day.

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